THE NATIONAL COMPANY LAW TRIBUNAL

NEW DELHI, BENCH-IV

COMPANY PETITION NO. CA (CAA)-105 (ND) 2021

Under Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

In the matter of:

Scheme of Amalgamation

Of

MESTECH SERVICES PRIVATE LIMITED

……APPLICANT COMPANY NO. 1/TRANSFEROR COMPANY

WITH

ROCKWELL AUTOMATION INDIA PVT LTD

….APPLICANT COMPANY NO.2/TRANSFEREE COMPANY

Judgment delivered on: 07.01.2022

CORAM:

Mr. DHARMINDER SINGH, HON'BLE MEMBER (J)

MS. SUMITA PURKAYASTHA, HON'BLE MEMEBR (T)

ORDER

PER SHRI DHARMINDER SINGH (MEMBER-JUDICIAL)

1. This application has been jointly filed by the Applicant Companies under Sections 230 and 232 of the Companies Act, 2013 read with the

Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016, duly supported by separate affidavits of the Applicant Companies, seeking dispensation/convening of the meetings of the shareholders and creditors of both the applicant companies, for approval of the proposed Scheme of Amalgamation as contemplated between the applicant companies. The said Scheme of Amalgamation (hereinafter referred to as the "Scheme") has been placed on record along with the joint applications.

2. It is represented that the registered offices of all the applicant companies are situated in New Delhi and therefore the subject matter of this joint applications fall within the Jurisdiction of this Bench.

3. M/s Mestech Services Private Limited (Transferor Company) was incorporated on 06.02.2008 as a private limited company. The Authorized Share Capital of the Transferor Company is Rs. 80,00,000/- divided into 6,97,750 equity shares of Rs. 10/- each and 1,02,250 Ordinary equity shares of Rs. 10 each at differential rights as to voting/dividend. The issued, subscribed and paid up share capital of the Company is Rs. 68,72,100/- divided into 6,87,210 equity shares of Rs. 10/- each. The registered office of the Transferor Company is presently situated at 131,

Block-2, Functional Industrial Estate, Patparganj East Delhi, Delhi-110092.

4. M/s Rockwell Automation India Pvt Ltd (Transferee Company) was incorporated on 29.06.1983 under the provisions of the erstwhile Companies Act, 1956. The registered office of the Company is presently situated at 131, Block-2, Functional Industrial Estate, Patparganj East Delhi, Delhi-110092. The Authorized Share Capital of the Transferee Company is Rs. 45,25,00,000/- divided into 45,00,000 equity shares of Rs. 10/- each and 25,000 preference shares of Rs. 100 Each. The issued, subscribed and paid up share capital of Company is Rs. 34,22,33,000 /- divided into 34,22,330 equity shares of Rs.10/- each.

5. The transferor Company is a wholly owned subsidiary of the transferee company. It is stated that the transferor company has two equity shareholders, consent of both the shareholders have been obtained constituting 100% in value and numbers. Similarly, the transferee company has two equity shareholders and both the shareholders of Transferee Company have given their consent affidavits in favour of the Scheme constituting 100% in value and numbers.

6. It is also stated that both the applicant companies have no secured creditors in the company. In respect of unsecured creditors it is submitted

that the transferor company has 23 unsecured creditors having outstanding balance of Rs. 70,57,288 /- and the transferee company has 302 unsecured creditors having outstanding balance 82,32,354/- as on 31.07.2021.

7. Dispensation of the meetings of the unsecured creditors has been sought for as their rights are not being affected because the Transferee Company is taking over all liabilities of Transferor Company, which in case of unsecured creditors is Rs. 70.57 Lakhs. Both the applicant companies have filed certificate of Chartered accountant certifying that the Net worth of Transferor Company is Rs. 29.47 Crores and net worth of transferee company is Rs. 479.26 Crores. It is also stated that since the transferor company is wholly owned subsidiary of the transferee company no shares will be allotted to the transferor company as consideration.

8. The applicants have placed reliance of order of Hon'ble NCLAT in **Mohit Agro Commodities Processing Pvt Ltd.and Gujarat Ambuja Exports Ltd. {COMPANY APPEAL (AT) No. of 2021 dated 28.06.2021** in which Hon'ble NCLAT had dispensed the requirement of convening meetings of unsecured creditors in case of high net worth company and that the merger will not affect the rights of the shareholders or the creditors.

9. We have perused the joint applications and the connected documents / papers filed herewith including the Scheme of Amalgamation contemplated between the Applicant companies. The Board of Directors of all the applicant companies vide separate meetings, held on 13.09.2021 respectively have unanimously approved the proposed Scheme of Amalgamation and copies of such board resolutions passed thereat have been placed on record by the companies.

10. The respective Memorandum and Articles of Associations of all the applicant companies have been placed on record. The applicants have also filed the audited financial statements of the transferor company for the year ending 31.03.2021 and audited financial statements of the transferee company for the year ending 31.03.2021 and provisional financial statement of the transferee company as on 31.03 2021.

11. The certificates of statutory auditors of both the applicant companies confirming that the accounting treatment in the scheme is in conformity with Section 133 of the Companies Act, 2013 have been placed on record.

12. It is submitted that the proposed merger is sought to be made under the provisions of Section 230 to 232 of the Companies Act, 2013, and the same if sanctioned by this Tribunal the appointed date as provided in the Scheme shall be April 1st, 2021.

13. Both the companies have affirmed in this joint application that no investigation proceedings are pending under the provisions of the Companies Act against any of the applicant company.

14. The applicants further affirmed that the Scheme does not prejudicial to the interests of the shareholders, and creditors of the applicant companies. Rather, the same may be beneficial to all the applicant companies and their respective shareholders, and creditors.

15. Taking into consideration the aforesaid facts and circumstances, following directions are issued: -

A. In relation to Transferor Company.

i. With respect to Equity Shareholders:

Since it is represented by the transferor company that there are two equity shareholders in the Company whose consents by way of affidavits have been obtained and placed on record, therefore, the necessity of convening and holding a meeting to consider and if thought fit for the approval of the Scheme is dispensed with.

ii. With respect to secured creditors:

Necessity for convening meeting of secured creditors does not arise as there is no secured creditor in Applicant Transferor Company.

iii. **With respect to unsecured creditors:**

In terms of the Order passed by Hon'ble NCLAT in *Mohit Agro Commodities Processing Pvt Ltd. and Gujarat Ambuja Exports Ltd. {COMPANY APPEAL (AT) No. of 2021 dated 28.06.2021,* the requirement of convening of meeting of unsecured creditors of the company has been dispensed with.

B. In relation to Transferee Company.

i. **With respect to Equity Shareholders:**

Since it is represented by the transferee company that there are two equity shareholders in the Company whose consents by way of affidavits have been obtained and placed on record, therefore, the necessity of convening and holding a meeting to consider and if thought fit for the approval of the Scheme is dispensed with.

i. **With respect to secured creditors:**

ii. Necessity for convening meeting of secured creditors does not arise as there is no secured creditor in Applicant Transferor Company.

iii. **With respect to unsecured creditors:**

iv. In terms of the Order passed by Hon'ble NCLAT in *Mohit Agro Commodities Processing Pvt Ltd. and Gujarat Ambuja Exports*

Ltd. {COMPANY APPEAL (AT) No. of 2021 dated 28.06.2021, the requirement of convening of meeting of unsecured creditors of the company has been dispensed with.

Let the copy of the order be served to the parties.

— Sd/—

(SUMITA PURKAYASTHA)
MEMBER (TECHNICAL)

— Sd/—

(DHARMINDER SINGH)
MEMBER (JUDICIAL)